

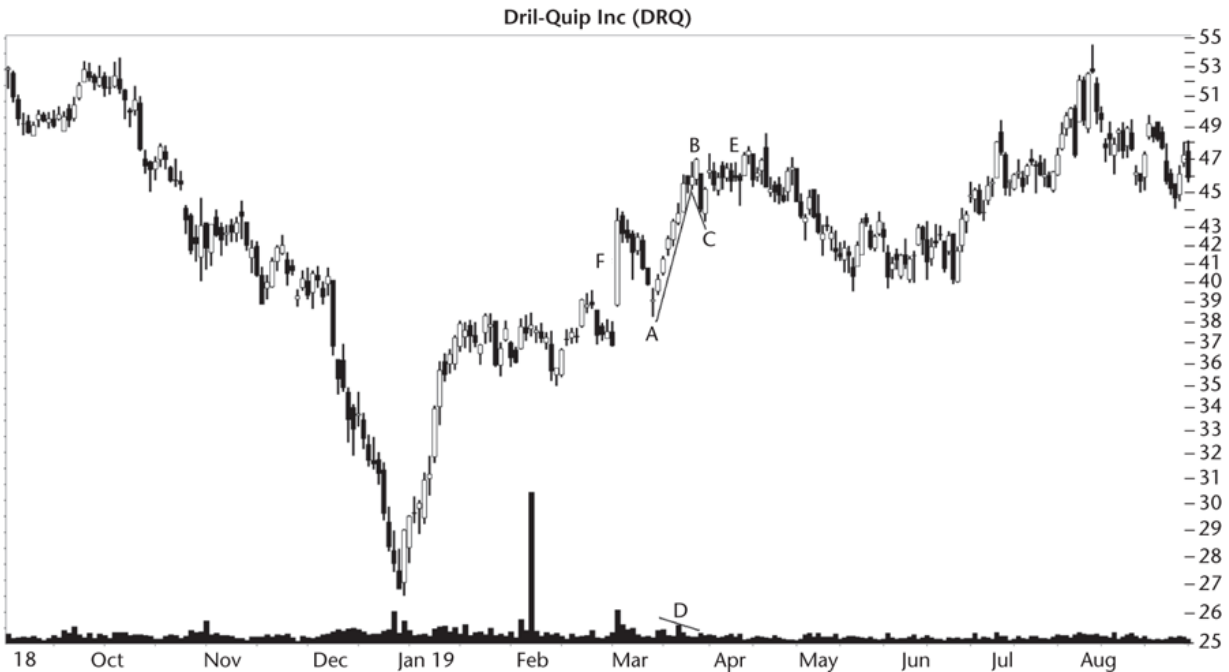


Figure 71.3 This is what a typical failure of a V-top looks like.

The height of AB is 8.76 and 38.2% of that is 3.35. Subtracting the result from the peak at B gives a confirmation or breakout price of 43.67. The low at C just squeaks by with a value of 43.31. In other words, the drop from B to C was far enough to qualify this as a valid V-top. Volume trends downward as shown at D and verified by linear regression.

Everything looked like a textbook V-top. And that's where the story turns into a nightmare.

Price hits the low at C and then starts a climb to a new high. Price busts the downward breakout at E when it closes above the top of the chart pattern.

Why did this pattern fail? That's a good question for which I don't have an answer. Imagine that price continued lower after C. The pattern would *look* like a V-top. But the way this one looks, it's hard to see the pattern qualifying as a valid V-top, even though it does.

Price *did* move lower, but it wasn't until after E when the stock moved downward. I can only say that at C the bulls weren't ready to surrender to bearish selling pressure. Buying demand overwhelmed selling pressure and up the stock went.